

Leveraged Buyout Model

Kfin Technologies

Entry structuring, capital stack, debt paydown & exit returns

Entry EBITDA Multiple	29.13x
Holding Period	5 Years
Exit IRR	20.52%
MOIC	2.54x
Sponsor Equity (% of Total Sources)	81.78%

This model presents a complete leveraged buyout analysis of Kfin Technologies, covering the purchase price buildup, sources and uses of funds, capital structure, debt schedule with cash sweep, and exit returns analysis with IRR and MOIC sensitivity across 5 year holding period.

This leveraged buyout model and all accompanying analysis, projections, and figures relating to KFin Technologies have been prepared solely for educational and illustrative purposes. The assumptions, forecasts, and valuation outputs presented are based on simplified modelling techniques and publicly available information, and do not represent investment recommendations, research coverage, or professional financial advice. Nothing in this document should be interpreted as a solicitation to buy, sell, or hold any security. Readers are strongly encouraged to conduct independent due diligence and consult a qualified, licensed financial advisor before making any investment decisions.

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Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
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Revenue Forecast Assumption

Rev Growth (%)	17.30%	17.30%	17.30%	17.30%	17.30%
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EBITDA Margin Assumption

EBITDA Margin (%)	46.52%	46.52%	46.52%	46.52%	46.52%
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D & A Assumption

D & A (% of Rev)	5.91%	5.91%	5.91%	5.91%	5.91%
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Capex Assumption

Capex (% of Rev)	8.89%	8.89%	8.89%	8.89%	8.89%
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Transaction Assumption

Assumption	Value
Entry EBITDA Multiple	29.13x
Exit EBITDA Multiple	29.13x
Holding Period (Yrs)	5
Tax Rate	25.00%
Transaction Fees (% of EV)	292

Metrics	Value
Share Price	848
Shares Out.	17
Market Cap.	14,653
Net Debt	(23)
EV	14,630

Capital Structure Assumption

Assumption	Value
Senior Debt (% of EV)	17.63%
Mezzanine Debt (% of EV)	0.93%
Sponsor Equity (% of EV)	81.45%
Interest Rate (%)	23.00%
Mandatory Amortization	--
Cash Sweep (%)	100.00%

2025 EBITDA	502
EBITDA Mul.	29.13x

2025 DSO	83
2025 DPO	35

CAGR Rev (Bull)	22.30%
CAGR Rev (Base)	17.30%
CAGR Rev (Bear)	12.30%

Exit Assumption

Assumption	Value
Exit Year	2030
Exit EBITDA Multiple	29.13x

Scenario Change	2
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Return Hurdles

Assumption	Value
Target IRR (%)	20.00%
Target MOIC (x)	3.00x
Min Interest Coverage Ratio	2.00x
Diluted Interest Rate	9.25%
Max debt to be raised	2,714

Revenue growth is estimated in 3 cases (bull, base and bear), to get realistic view. Historical data indicates clear trend for ebitda margin, D&A % of Rev and Capex % of Rev hence evaluation by considering cases is not strictly required. It can also be noticed that exit EBITDA Multiple is same as entry EBITDA Multiple, it is taken into consideration since industry average for EBITDA Multiple is around 34x therefore we are well within its limit. Our target IRR is 20% + and MOIC is 3x +, specific assumptions are made because it is industry norm. also by using formula $\text{EBITDA} / \text{Min interest coverage ratio} * \text{Diluted interest rate}$ we can raise max debt upto 2714 crores. Also min interest c.r. is taken as 2x since its what considered by lenders.

Particulars	2021	2022	2023	2024	2025
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Income Statement Metrics

Revenue	472	625	696	811	1,056
EBITDA	214	297	313	382	502
D & A	98	36	43	49	59
EBIT	116	260	270	333	443
Interest Expense	52	53	11	8	5
PBT	64	208	259	325	438
Tax	132	55	63	80	113
PAT	(67)	153	196	245	326

Balance Sheet Metrics

Cash	15	31	57	47	23
Total Debt	346	123	130	--	--
Net Debt	331	92	73	(47)	(23)
Trade Receivables	108	107	118	144	180
Trade Payables	25	24	25	40	67
Inventory	Nil	Nil	Nil	Nil	Nil
Net Working Capital	83	83	93	103	113

Cash Flow Statement Metrics

CFO	202	256	232	286	393
Capex	30	67	66	80	86
Free Cash Flow	172	190	166	207	308
Dividends Paid	--	--	--	--	99

Key Ratios

Rev Growth %	N/A	32.41%	11.48%	16.42%	30.18%
EBITDA Margin %	45.41%	47.48%	45.01%	47.12%	47.58%
EBIT Margin %	24.66%	41.69%	38.77%	41.13%	41.95%
PAT Margin %	-14.27%	24.49%	28.18%	30.27%	30.84%
Debt / EBITDA	1.62x	0.41x	0.41x	0.00x	0.00x
FCF Conversion %	80.32%	63.89%	53.09%	54.09%	61.27%

Particulars	2026	2027	2028	2029	2030
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Income Statement Metrics

Revenue	1,238	1,452	1,704	1,998	2,344
EBITDA	576	676	792	930	1,090
D & A	73	86	101	118	139
EBIT	503	590	692	811	952
Interest Expense	147	60	25	11	8
PBT	356	530	667	801	943
Tax	89	132	167	200	236
PAT	267	397	500	601	708

Balance Sheet Metrics

Cash	23	23	23	23	23
Total Debt	2,590	2,274	1,869	1,380	803
Net Debt	2,567	2,251	1,847	1,357	781
Trade Receivables	283	332	389	457	536
Trade Payables	64	76	89	104	122
Inventory	--	--	--	--	--
Net Working Capital	219	257	301	353	414

Cash Flow Statement Metrics

CFO	234	445	556	667	785
Capex	110	129	151	178	208
Free Cash Flow	124	316	405	489	577
Dividends Paid	--	--	--	--	--

Key Ratios

Rev Growth %	17.30%	17.30%	17.30%	17.30%	17.30%
EBITDA Margin %	46.52%	46.52%	46.52%	46.52%	46.52%
EBIT Margin %	40.61%	40.61%	40.61%	40.61%	40.61%
PAT Margin %	21.56%	27.35%	29.36%	30.06%	30.19%
Debt / EBITDA	4.50x	3.37x	2.36x	1.48x	0.74x
FCF Conversion %	21.55%	46.78%	51.10%	52.61%	52.89%

Particulars	Value
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Purchase Price Buildup

Share Price	848
Shares Outstanding	17

Market Cap.	14,653
Net Debt	(23)

Enterprise Value	14,630
Less - Cash Acquired	23
Add - Existing Debt	--
Equity Purchase Price	14,607
Add - Transaction Fees (%)	292

Total Purchase Price	14,899
Equity Value	14,607

Sen. Debt % FCF	95.00%
Mezz Debt % FCF	5.00%
Sponsor E. % Total Sources	81.78%

Total debt to be raised	2,714
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Sen. Debt Interest	9.00%
Mezz Debt Interest	14.00%
Senior Debt	232
Mezz Debt	19

This schedule presents the purchase price buildup and financing assumptions underlying the leveraged buyout transaction. The acquisition is based on a share price of ₹848 and 17 crore shares outstanding, resulting in an implied market capitalization of ₹14,653 crore.

After adjusting for net cash of ₹23 crore, the enterprise value is calculated at ₹14,630 crore.

The model then derives an equity purchase price of ₹14,607 crore and incorporates transaction fees of ₹292 crore, leading to a total purchase consideration of ₹14,899 crore. To

finance the acquisition, the model assumes total debt funding of ₹2,714 crore, comprising 95% senior debt and 5% mezzanine debt. This translates into ₹2,579 crore of senior debt and ₹136 crore of mezzanine debt. The financing structure applies interest rates of 9.0% and

14.0% to senior and mezzanine debt respectively, reflecting their differing risk profiles. Overall, the assumptions indicate disciplined leverage, with sponsor equity remaining the primary source of funding.

Sources	Amount
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Senior Debt	2,579
Mezz Debt	136
Sponsor Equity	12,185

Total Sources	14,899
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Uses	Amount
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Equity Purchase Price	14,607
Fees	292

Total Uses	14,899
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Sources = Uses

Fulfilled

The Sources and Uses schedule is a critical component of the leveraged buyout model, as it outlines how the acquisition will be financed and where the funds will be deployed. The schedule shows total sources of ₹14,899 crore, which exactly match total uses of ₹14,899 crore, confirming that the transaction is fully funded and financially balanced. This equality between sources and uses is essential in any LBO transaction, as it ensures that all acquisition-related costs are adequately financed without creating a funding gap. The financing structure consists of ₹2,579 crore of senior debt, ₹136 crore of mezzanine debt, and ₹12,185 crore of sponsor equity. Sponsor equity accounts for approximately 81.8% of total funding, while debt contributes the remaining 18.2%.

This indicates a relatively conservative leverage profile compared to traditional buyouts, where debt typically forms a larger portion of the capital structure. A higher equity contribution reduces financial risk, lowers interest burden, and provides greater flexibility for management to execute growth initiatives after the acquisition.

On the uses side, ₹14,607 crore is allocated toward the equity purchase price of the target company, representing the primary cash outflow of the transaction. The remaining ₹292 crore is reserved for transaction-related expenses, including advisory, legal, financing, and due diligence fees. Overall, the schedule demonstrates a well-structured acquisition financing plan with prudent leverage, strong equity backing, and sufficient funding to cover all transaction requirements.

Debt Schedule

Particulars	2026	2027	2028	2029	2030
Opening Debt	2,714	2,590	2,274	1,869	1,380
Interest Expenses	147	60	25	11	8
Interest Rate	5.41%	2.33%	1.10%	0.56%	0.61%
FCF Available	124	316	405	489	577
Debt Repayment	124	316	405	489	577
Closing Debt	2,590	2,274	1,869	1,380	803

Cash Sweep

Particulars	2026	2027	2028	2029	2030
EBITDA	576	676	792	930	1,090
Less: Taxes	89	132	167	200	236
Less: Capex	110	129	151	178	208
Less: Increase in NWC	106	38	44	52	61
Less: Interest	147	60	25	11	8
FCF Available	124	316	405	489	577
Cash Sweep (%)	100.00%	100.00%	100.00%	100.00%	100.00%
Cash Used for Repayment	124	316	405	489	577
Cash Retained	--	--	--	--	--

Cash retained after paying of all debt in 5 years

23

Interest Payment Plan

Total interest to be paid in next 5 years

251

Particulars	2026	2027	2028	2029	2030
Interest Remaining	104	44	19	8	--
Interest Paid	147	60	25	11	8
Interest Rate Paid	5.41%	2.33%	1.10%	0.56%	0.61%
S.D Debt Int. Remaining	93	37	15	6	--
S.D Debt Interest Paid	60.00%	60.00%	60.00%	60.00%	100.00%
M.D Debt Int. Remaining	11	7	4	2	--
M.D Debt Interest Paid	40.00%	40.00%	40.00%	40.00%	100.00%

Exit Analysis

Item	Value
<i>Exit Analysis</i>	
Exit EBITDA	1,090
Exit EBITDA Multiple	29.13x
Enterprise Value	31,768
Total Debt Outstanding	803
Cash Balance	23
Net Debt	781

Equity Value	30,987
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Sponsor Ownership	100.00%
Sponsor Equity Proceeds	30,987

Returns / Gain Analysis

Item	Value
Entry Equity Investment	12,185
Exist Equity Value	30,987
Money Invested	12,185
Money Returned	30,987
Gain / Profit	18,802

IRR	20.52%
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MOIC	2.54x
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Sensitivity Analysis

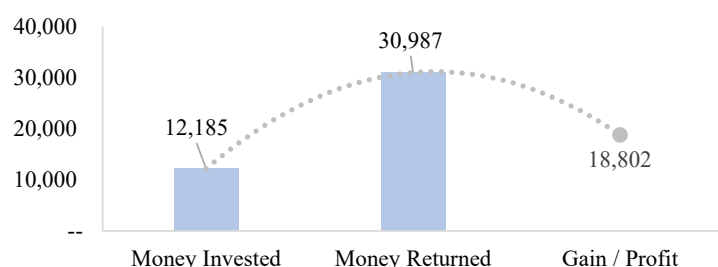
Holding Period	5
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Internal Rate of Return*Number of Holding Period*

	1	2	3	4	5
10.00x	-73.80%	-39.20%	-20.69%	-10.16%	-3.64%
15.00x	-50.17%	-19.57%	-6.25%	0.81%	5.03%
20.00x	-26.53%	-3.87%	4.75%	9.05%	11.53%
25.00x	-2.90%	9.61%	13.82%	15.76%	16.79%
29.13x	16.62%	19.60%	20.35%	20.54%	20.52%
35.00x	44.37%	32.51%	28.56%	26.48%	25.13%

Multiple of Invested Cap.*Number of Holding Period*

	1	2	3	4	5
10.00x	0.26x	0.37x	0.50x	0.65x	0.83x
15.00x	0.50x	0.65x	0.82x	1.03x	1.28x
20.00x	0.73x	0.92x	1.15x	1.41x	1.73x
25.00x	0.97x	1.20x	1.47x	1.80x	2.17x
29.13x	1.17x	1.43x	1.74x	2.11x	2.54x
35.00x	1.44x	1.76x	2.12x	2.56x	3.07x



The investment generates progressively stronger returns across all holding periods, with Year 1 delivering modest value creation and Years 2–4 benefiting from continued EBITDA growth and deleveraging. The 5-year exit scenario produces the highest equity value, 2.54x MOIC, 20.52% IRR, and overall sponsor returns, making it the most attractive holding period.